MINISTRY OF EDUCATION, CULTURE, RESEARCH, AND TECHNOLOGY REPUBLIC OF INDONESIA

UNIVERSITAS DJUANDA

Fundamental Research– Regular Year 2024,

REGULATORY IMPACT ASSESSMENT ANALYSIS OF LARGE-SCALE LAND TENURE BY SPECIAL ECONOMIC ZONES TO PREVENT LAND GRABBING

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SUMMARY

The Gini Ratio of land tenure in Indonesia is close to 0.58, meaning that only 1% of the population controls 58% of land resources. Inequality occurs due to unequal access to land. Large-scale land control by certain parties adds to the people's access to land. SEZs with all their facilities and facilities, instead of providing economic benefits, both for the region and society, as well as for the national economy in general, the existence of SEZs in some ways is considered prone to land grabbing practices where large-scale land ownership is carried out legally formally in providing land for capital accumulation.

The urgency of this research is very important because of several things: (a) SEZs as an effort to boost investment so that they are not counterproductive to the goal of people's welfare, so it is necessary to evaluate costs and benefits; (b) large-scale land control by SEZs that are generally controlled by the private sector should not negate the role of the state that should control land for the greatest prosperity of the people; (c) the implementation of SEZs must be ensured that it does not violate fundamental principles in the management of agrarian resources, especially land for the welfare of the people.

In addition, this research will strongly support the implementation of the achievement of sustainable development goals (SDGs), where one of the global goals is by 2030, ensuring that all men and women, especially the poor and vulnerable, have equal rights to economic resources, as well as access to basic services, ownership and control of land and other forms of ownership. The purpose of this research is to produce alternative policies in the implementation of SEZs that prioritize the justice of people's access to land.

Keywords:
Regulatory Impact Assesment; Special Economic Zones; Land Grabbing; Investment; Land Grabbing.

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INTRODUCTION

Indonesia has made SEZs as one of the instruments to attract direct investment (Law Number 39 of 2009 concerning Special Economic Zones). The enactment of the Job Creation Law (UUCK) stipulates SEZs as a form of economic zone that is encouraged to boost investment by providing many facilities and facilities. The spirit of the UUCK to create jobs through increasing investment through the regulation of SEZs with all their facilities and facilities, causes effects that are considered negative, instead of providing economic benefits, both for the region and the local community, as well as the national economy, the existence of SEZs in some cases is considered prone to the practice of state capture(1) and distributing concessions, only giving profits to business actors only, becoming rent-seeking land(2). There are even allegations of human rights violations in the development of SEZs, such as the construction of the Mandalika SEZ(3). SEZs are instruments of land tenure on a wide scale.

Even in this context, SEZs have become a tool for capitalists to turn to the state to use non-market means in providing land for capital accumulation(4,5). The practice of large-scale land grabbing by SEZs like this leads to land grabbing conditions (land grabbing) (6,7).

The formulation of the problem in this study is how to alternatively large scale land tenure policies by SEZs to prevent land grabbing. For this reason, the problem-solving approach used in this study uses the Regulatory Impact Assessment (RIA) approach. RIA is an important tool to ensure more quality government intervention. RIA provides important information to decision-makers about whether and how to conduct regulations to achieve public policy objectives. The implementation of the RIA is an important step in changing policy from 'deregulation' to 'better regulation' or 'smart regulation' that is more systemic(8). RIA is a technique for evaluating the impact of a regulation. The purpose of the RIA technique is to systematically evaluate the benefits and harms of new or existing legislation (9,10).

RESEARCH METHODS

The research was carried out in 1 year. This research is divided into 2 stages, namely Pre-research and Research (the Research stage is divided into 2 sub-stages, including production and post-production.

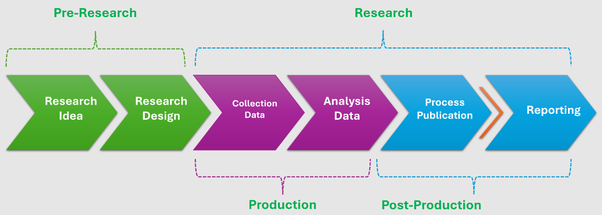


Figure 1. Research Stages

Data analysis was carried out qualitatively. In this data analysis stage, using the Regulatory Impact Assessment (RIA) problem-solving approach, data analysis includes the following stages: (a) Problem formulation; (b) Formulation of objectives; (c) Formulation of alternative solutions; (d) Analysis of benefits and costs; (e) Stakeholder consultation; (f) Implementation strategy.

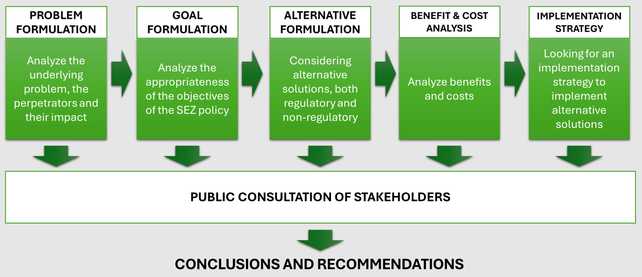
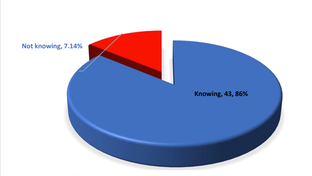


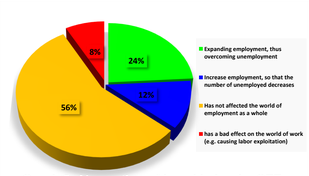
Figure 2. Stages of RIA Analysis

RESEARCH RESULTS

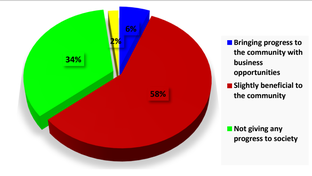
In order to dig up information from the community as material for problem analysis, a survey has been conducted on communities that are considered directly affected by the existence of SEZs. The number of people as respondents in this study was 50 people from 3 SEZ locations (Lido SEZ, Tanjung Lesung SEZ, and Mandalika SEZ).



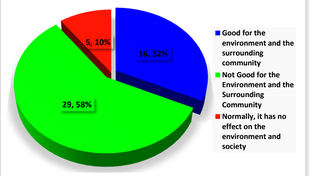
Graph 1. Respondents' Level of Knowledge of the existence of SEZs



Graph 2. Absorption of Local Labor by SEZs

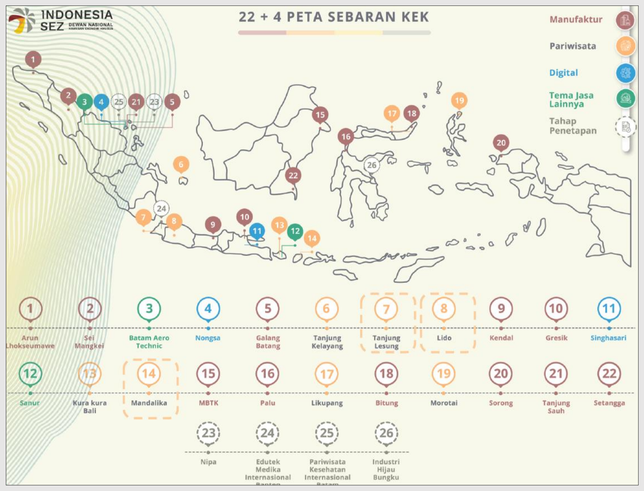


Graph 3. The Impact of the Existence of SEZs



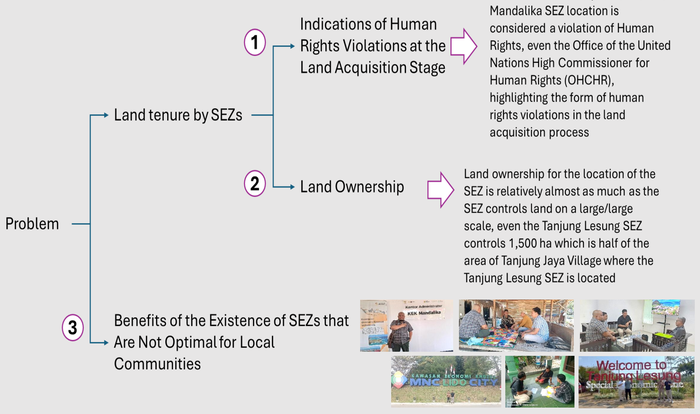
Graph 4. Impact of Environmental SEZs

1. Some of the key issues and concerns related to SEZs and land ownership include:
2. Land rights: Local communities' rights to their land and resources can be compromised in the land acquisition process.
3. Compensation and relocation: Compensation and relocation processes for affected communities may be inadequate, resulting in social and economic disruption.
4. Environmental impacts: The development of SEZs can have significant environmental impacts, such as deforestation, pollution, and habitat destruction.



ANALYSIS

Behind the SEZ data, which is believed to have a significant impact on national economic growth, there are still strategic problems, especially at the local level, that need to be handled seriously. Some of these problems are not only related to land control by SEZs, but other problems related to the existence of SEZs and their impact on local communities.

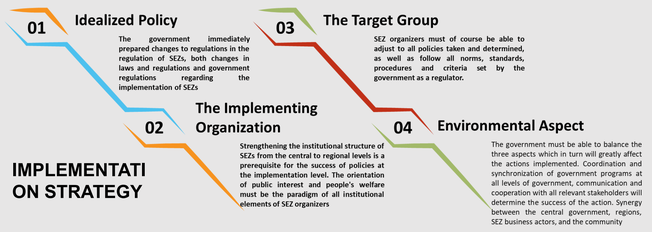


ANALYSIS

Table 1. Cost and Benefit Analysis

Objective 1: ENSURING THAT LAND TENURE BY SEZ MEETS HUMAN RIGHTS PRINCIPLES, PAYS ATTENTION TO THE WISDOM OF LOCAL COMMUNITIES, AND USES LAND ACTIVELY AND PRODUCTIVELY		COST	BENEFIT
ALTERNATIVE 1: ACTIONS THAT ARE NON-REGULATORY IN NATURE	Massive, structured and systematic socialization of the SEZ formation plan	▪ Spending costs by initiators ▪ Potential takes more time ▪ Potential rejection	▪ The community knows definitively and clearly the plan for the formation of a SEZ ▪ Involvement of all stakeholders ▪ Potential support/social capital ▪ Clarity of purpose ▪ Fostering an understanding of positive impact ▪ Reduce negative impacts ▪ Reciprocal communication
	Full involvement of potentially affected communities in the process and stages of the SEZ formation plan	▪ Potential takes more time ▪ Potential costs	▪ Potential support/social capital ▪ Reciprocal communication
	Involvement of all government stakeholders at all levels	▪ Potential takes more time ▪ Potential costs	▪ Support (political will) from the local government from the beginning of the plan ▪ Similarities in perception ▪ Potential incentives, facilities and facilities from local governments ▪ Reciprocal communication
	Ensuring that all stages of the proposed SEZ plan have implemented human rights principles and standards (UN Guiding Principles on Business and Human Rights)	▪ Potential takes more time ▪ Potential costs for SEZ managers ▪ Involve multiple stakeholders	▪ Clean and Clean Land Acquisition ▪ Minimal conflict ▪ Potential support/social capital
ALTERNATIVE 2: REGULATORY ACTIONS:	Increase the minimum land tenure requirement in the SEZ formation plan (from 50% to 75%)	▪ Potential rejection from business actors ▪ Potential requires more time in proposal ▪ Potential costs for SEZ managers	Certainty of land tenure in SEZ locations
	The limitation of the area of land to be controlled is adjusted to the proportionality of the strategic plan and the proposed SEZ master plan	▪ Long and lengthy legislative process ▪ Potentially controversial ▪ Potential rejection from business actors	▪ Provide legal certainty of adequate maximum land tenure limits ▪ Anticipation of excessive land control ▪ Land productivity ▪ Ensuring justice for land access
	The need for support from the local government for the plan to establish a SEZ	▪ Political obstacles ▪ Potential requires more time in the proposal stage	▪ Support (political will) from the local government from the beginning of the plan ▪ Similarities in perception ▪ The formation of SEZs is in line with the potential, conditions and needs of the region ▪ Reducing centralism of central government ▪ Increased investment realization
	Positive land registration system	▪ Long and lengthy legislative process ▪ Requires non-moderate academic study ▪ Obstacles in changing the legal paradigm ▪ High costs and complicated processes	▪ To better ensure the protection and legal certainty of land rights ▪ Minimizing land conflicts ▪ Preventing land mafias in land procurement for SEZs ▪ Orderly land administration ▪ Increase investor confidence
DO NOTHING	No action is required	▪ There is potential for policy centralization by the central government through the SEZ policy as a National Strategic Project ▪ The tendency not to involve regions in policies that are located in the regions ▪ Top down ▪ The political will of the local government is sometimes less supportive	There is no new process for SEZ managers

Objective 1: ENSURING THAT LAND TENURE BY SEZ MEETS HUMAN RIGHTS PRINCIPLES, PAYS ATTENTION TO THE WISDOM OF LOCAL COMMUNITIES, AND USES LAND ACTIVELY AND PRODUCTIVELY		COST	BENEFIT
ALTERNATIVE 1: ACTIONS THAT ARE NON-REGULATORY IN NATURE	The local government collaborates with SEZ managers to empower and increase the capacity of local communities to support SEZ operations	Potential costs for SEZ managers	The availability of local human resources in accordance with the operational needs of the Ministry of Agriculture's Conflict ResolutionPotential support/social capitalAbsorption of local laborIncreased business opportunities for local communities
	Optimization of pentahelix cooperation	Potential costs for SEZ managers	Potential support/social capital Investment promotion Reciprocal communication
ALTERNATIVE 2: REGULATORY ACTIONS:	Setting a minimum percentage of local labor absorption as a prerequisite for providing incentives and facilities from local governments	Potential rejection from business actors Potential costs for SEZ managers	Absorption of local labor
	Determination and application of administrative sanctions for SEZs that do not realize the provision of locations for micro, small, medium, and cooperative enterprises, both as Business Actors and as supporters of company activities in SEZs.	Long and lengthy legislative process Requires non-moderate academic study	Certainty of the involvement of micro, small, medium, and cooperative businesses, both as Business Actors and as supporters of company activities in SEZs Increasing local community business opportunities
DO NOTHING	No action is required	He is still not involved in the optimal micro, small, medium, and cooperative enterprises, both as Business Actors and as supporters of company activities in the SEZ	There is no new process and no increased responsibility for SEZ managers



CONCLUSION

The study offers alternative actions aimed at ensuring that land tenure by SEZs meets human rights principles, pays attention to the wisdom of local communities, and uses land actively and productively, without ruling out community access to land. Similarly, it is important to optimize the benefits of the existence of SEZs to improve the welfare of the local community. Do not let the local community where the SEZ is located not be involved, starting from the planning of the formation of the SEZ to its operation. The involvement of local communities is very important to ensure that the existence of SEZs is able to make a positive contribution to the community and the environment in social and economic aspects, both at the national and local levels. For this reason, the government must initiate alternative actions, both regulatory and non-regulatory actions that are carried out by involving all government stakeholders at all levels, the private sector, and society.

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